

B. Gamma - γ

Gamma indicates the change in delta due to a change in the price of an asset.

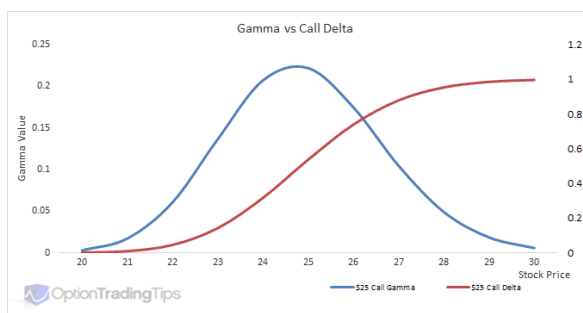
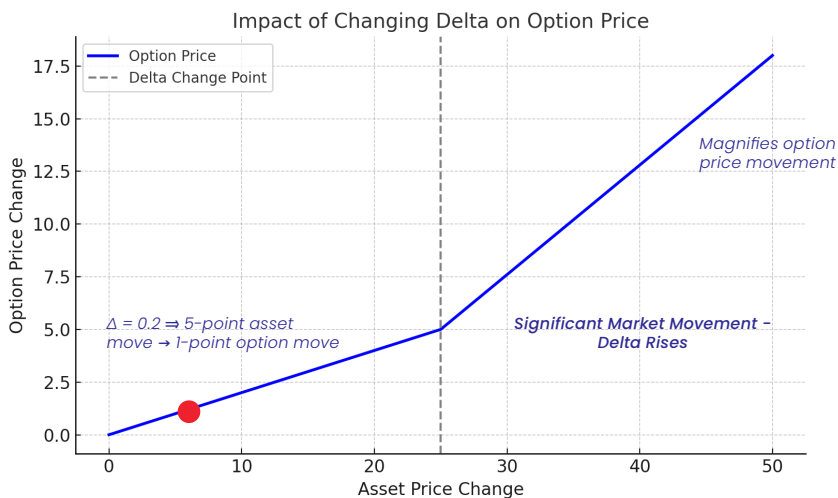


Image Source: <https://www.optiontradingtips.com/greeks/gamma.html>

For instance, an option with a delta of 0.2 means that for every 5-point change in the asset price, the option price will increase by 1 point. However, as the market moves, the delta itself changes. For instance, if the market moves significantly, the delta may rise to 0.5. It amplifies the change in option price.



However, you must hold reasonable expectations about gamma. Suppose you buy a deep OTM option with 0.1 delta. A gamma so high that it shifts the delta to 1 is unrealistic. It would be like asking for divine intervention.